Can National Identity Trump Ethnic Favoritism? Evidence from a Field Experiment in Singapore [Extended abstract]*

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Abstract

Prior works in ethnic politics and political economy have shown that in-group ethnic favoritism can lead to adverse political and social outcomes. Yet, in many of these available studies, ethnicity could not be easily disentangled from other dimensions of identity, such as religion or nationality. In this paper, we leverage Singapore's unique demographic composition and housing policies to measure how ethnicity and national identity affect altruism towards members of ethnic outgroups. We conducted a field experiment wherein we sent 3,150 misdirected letters to residents containing vouchers and letters cuing for intended recipients' identity (i.e., the name outside the envelope was correct, the name in the letter inside was of a fictional person). We use intent to return the voucher as a measure of prosocial behavior. We find mixed evidence of ethnic favoritism: on average, individuals who identify as ethnically Chinese and Indians display higher altruism towards their ethnic outgroups, whereas individuals who identify as Malay tend to favor their coethnics. Furthermore, we find that nationality (but not shared nationality) and social class (but not shared social class) are strong predictors of altruistic behavior. That is, individuals are more likely to return misdirected letters (i) when they perceive that the intended recipient belongs to a lower socioeconomic class; and (ii) as their own education and household income increase. Last, we find that residents are more likely to return vouchers of $50 than vouchers of $10. The main implication is that perceived deservingness trumps both ethnicity and nationality.

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Extended abstract

Introduction

Conventional wisdom in the ethnic politics literature posits that individuals tend to favor those whom they consider as part of their group, at the expense of those who are seen as outsiders. This preference for in-group members has been shown to guide people's decisions on whom to marry, which political candidate to vote for, where to purchase a home, and whom to hire, among others. Yet individuals typically have multiple dimensions of identity (e.g., ethnic, racial, national, religious), some of which may be more salient than others, depending on their contexts and circumstances. As such, it remains unclear how in-group preferences may work when people may be fellow members of some dimensions of identity but are outsiders on other dimensions.

The goal of this project is to understand which of these dimensions of identity are at work when people with various affiliations have to make choices regarding others who (i) they do not know personally; but (ii) share at least one dimension of their identity. In other words, this project aims to disentangle the independent effects that ethnic, national, and class loyalties may have on pro-social behavior.

This paper leverages on Singapore's demographic composition where ethnicity and nationality are not observationally equivalent. Contrary to most societies, were ethnicity, citizenship status and socioeconomic status (SES henceforth) are strongly correlated, in Singapore the correlation between ethnicity, nationality, and SES is less clear. This allows us to test which of these markers of identity (if any) is more likely to drive altruistic behavior towards others.

The Context: Singapore

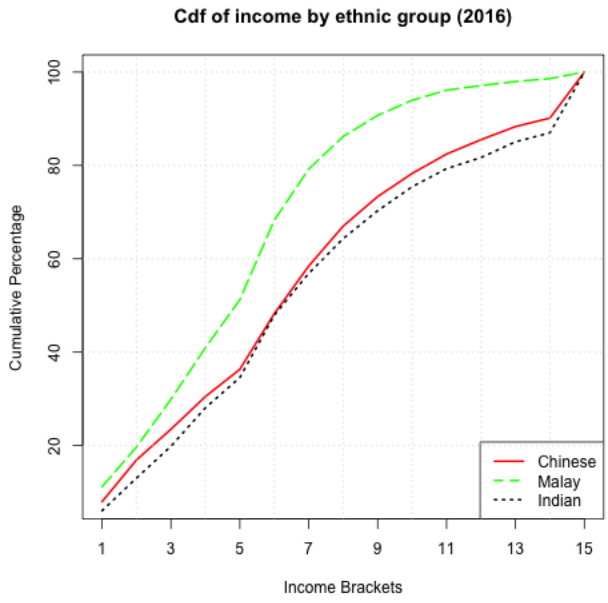
Singapore is a city-state in Southeast Asia, with a population of approximately 5.9 million, and an area roughly half the size of London. The population comprises three primary ethnic groups: the majority Chinese (74.3%), and two minority groups, Indians (9.0%) and Malays (13.5%). Approximately 61% of the population holds a Singaporean passport, 9.1% are foreign nationals with permanent resident status (similar to Green Card holders in the USA), and the remaining 30% are foreigners, predominantly from neighboring countries such as Malaysia, the Philippines, Indonesia, or China.

In Singapore, with some exceptions noted below, predicting socioeconomic status based solely on nationality and ethnicity is not straightforward. Unlike in many developed nations, such factors do not serve as definitive indicators of one's economic standing. Figure 1 illustrates the relative socioeconomic status of the three major ethnic groups: while income distribution for Indians and Chinese is virtually the same, on average, Malays tend to lag somewhat behind.

With regards to foreigners, the situation is relatively similar: one can find Malaysians owning businesses and living in landed property as well as Malaysians who can barely make ends meet. The same goes for many neighboring nationalities (e.g., Indonesians, Chinese or Filipinos).

As explained below, we carry out our experiment with residents in public housing. This is because all apartments are publicly accessible. There are no gates to the buildings, so every door can be approached, which is necessary for our survey purposes. Importantly, in Singapore, 80% of the population live in public housing. Hence, public housing does not carry the negative connotations that it carries in other places, like in the USA. On the contrary, people from all walks of life reside in public housing, including those at the highest income brackets. Each public housing building has ethnic quotas: As a result, every single building has an ethnic composition that very closely resembles the overall proportions in the country.

Figure 1: Income Distribution across Ethnic Groups in Singapore



Note: This graph is based on data from the 2015 General Household Survey. Income brackets range from $0–$1,000 (1st) to $12,000+ (15th).

The Experimental Design

Our experiment is divided in two stages: We first collected an original face-to-face survey of residents in Singapore. Six months later, we conducted a field experiment to examine patterns of altruism.

In phase one, carried out during the summer of 2021, we collected surveys in person from randomly selected public housing buildings in Singapore. We asked residents information about their sociodemographic characteristics and attitudes regarding various government policies, as well as perceptions on social mobility. At the end of the survey, we asked respondents if they were willing to participate in a raffle for 500 dollars (around 370 USD). If they wanted to, we asked them to provide us with their contact information, in case they won one of the six $500 raffles we had in place. This information was key for our second phase, the field experiment.

In phase two, approximately six months after the survey was completed, we sent 'misdirected envelopes' to respondents who had shared their addresses with us. These envelopes had the correct name and address printed on the outside. However, upon opnening them, the letter inside was addressed —seemingly by mistake— to another person. The brief letter cued for the fictional character's ethnicity (by means of the name), nationality (hometown was mentioned), and SES (either a janitor or a surgeon).[1] Attached to the letter there was a supermarket voucher for a well known local chain. The values of the vouchers were either 10 or 50 Singapore dollars (approximately 7.4 USD and 37 USD). To avoid gender effects, the fictional recipient of the letter was always male.

Each letter contained our complete contact details (phone number, email, webpage, and full address of our organization). This was to ensure that participants would encounter minimal costs if they wanted to return the voucher. We use intent to return as a measure pro-social behavior: If they contacted us, we count this as intent to return the voucher (while some recipients were curious as to how we had obtained there addresses, all those who contacted us did so because they legitimately wanted to return the voucher). Figures 3–5 in the Supplementary Figures section below contain example photos of the envelopes we sent, and their contents.

We can examine how shared ethnicity and shared nationality affect pro-social behavior because, thanks to our earlier survey, we have all the background information of actual recipients. Since for each real participant we know which fictional recipient they were linked to, we can measure whether shared ethnicity or shared nationality encourage pro-social behavior.

The supermarket chain chosen was Sheng Siong. The reason for this was twofold: (i) It is a popular chain with outlets all over the country; and, most importantly, (ii) Sheng Siong management agreed to share with us the day and location of the usage of all voucher we misdlivered. This allows us to check whether participants receive the voucher and use it

[1] We randomized the characteristics of intended (fictional) recipients in three ways: (i) socioeconomic status: either a janitor or a surgeon; (ii) ethnicity: either Chinese, or Malay, or Indian; (iii) nationality: either Singaporean, or Malaysian, or Indian, or from China.

without even trying to contact us. When residents contacted us to return the voucher, we thanked them and told them they should keep it and use it.

The Data and Results

In phase one, we collected around 6,400 surveys from local residents, out of which a little bit more than 4,000 were willing to participate in the raffle. Among those, we selected 3,150 to receive the misdirected letters. Selection was random and done to match the randomization choices we had stated in our pre-analysis plan. Table 1 shows those choices. Table 2 shows the descriptive statistics of the actual 3,150 recipients.

Table 3 summarizes the results for Chinese and Malay participants (we are not including all tables as this is "only" an extended abstract). We find little evidence of ethnic favoritism in our data. In fact, two ethnic groups are more likely to return vouchers if they are for someone from another ethnicity: Ethnically Chinese (majority group) are more likely to return the voucher if this is meant for a Malay, whereas ethnically Indian are more likely to return the voucher if this is meant for a Chinese. We only find evidence of homophilic altruism among Malays.

Table 1: Randomization of vouchers sent

(Intended recipient)			# envelopes sent	
Ethnicity	Nationality	SES	Small ($10)	Large ($50)
Same	Same	Low	300	150
Same	Same	High	300	150
Same	Other	Low	300	150
Same	Other	High	300	150
Other	Same	Low	300	150
Other	Same	High	300	150
Other	Other	Low	300	150

Table 2: Descriptive statistics

	Mean	SGP[1]	N
Chinese	68.3%	75.4%	2,150
Malay	14.8%	13.5%	467
Indian	16.4%	8.9%	518
Mixed[2]	0.48%	–	15
Singaporean	87.62%	-	2,760
(born Singaporean)	71.17%	-	2,242
Gender: female	50.60%	51.1%	1,594
Age (median)	42	42.5	
Education Mean: (1–4)	2.90	2.52	
1BR–2BR	9.2%	5.6%	290
3BR	20.9%	24.3%	659
4BR	38.2%	38.7%	1,205
5BR & Exec.	30.8%	31.1%	971
Owns apt.	82.6%	96.2%	2,603

(1) HDB residents only. 2020 Census & HDB hhd. survey 2018. (2) Participants of mixed ethnicity: deliberately excluded. (3) [Completed]: 1=sec. or lower; 2=sec. school; 3=Poly/ITE; 4=BA+.

Similarly, we find little homophilic altruism in terms of nationality. Residents who are Singaporean are much more likely to return the vouchers, regardless of the nationality of the intended recipient. Foreign residents are much more likely to keep and use it, regardless of the nationality of the intended recipient. All these results hold controlling for all sorts of socioeconomic and attitudinal characteristics.

Our stronger results arise from socioeconomic characteristics: Social class is a very strong predictor of intent to return: residents with higher income and higher education are significantly more likely to return the vouchers. *Perceived* social class is also a strong driver of pro-social behavior: when residents perceive that the intended recipient belongs to a lower socioeconomic class, they are significantly more likely to return the voucher.

Last, we find voucher to be also a very strong predictor: Large ($50) vouchers are much more likely to be returned than small ($10) vouchers. The interaction with perceived social class yields the highest rates of return. The likelihood of return of $50 vouchers intended for a janitor (low SES) is around ten percentage points higher than the average return rates. Given that base return rates are low (~17%), this means an increase of 50% in the likelihood of pro-social behavior. Figure 2 shows some of these results.

Table 3: Results: intention to return, for Singaporean Chinese and Singaporean Malay actual recipients

Dependent Variable: Intends to return the voucher (OLS)		
	(1)	(2)
(Baseline) Participant: Singaporean Chinese. Letter for: Singaporean Chinese [N=558]		
Participant: Singaporean Chinese		
Letter for: Malay from SG	0.042*	0.041*
[N=632]	(0.022)	(0.022)
Letter for: Malay from MY	0.045	0.041
[N=261]	(0.031)	(0.031)
Letter for: Chinese from PRC	0.006	0.007
[N=514]	(0.023)	(0.023)
Participant: Singaporean Malay		
Letter for: Chinese from SG	-0.061*	-0.053
[N=127]	(0.033)	(0.054)
Letter for: Malay from SG	0.041	0.050
[N=114]	(0.042)	(0.061)
Letter for: Malay from MY	-0.006	0.000
[N=138]	(0.036)	(0.056)
Letter for: Chinese from PRC	-0.055	-0.051
[N=78]	(0.044)	(0.061)
Controls	YES	YES
Observations	3,150	3,150
R-squared	0.049	0.085

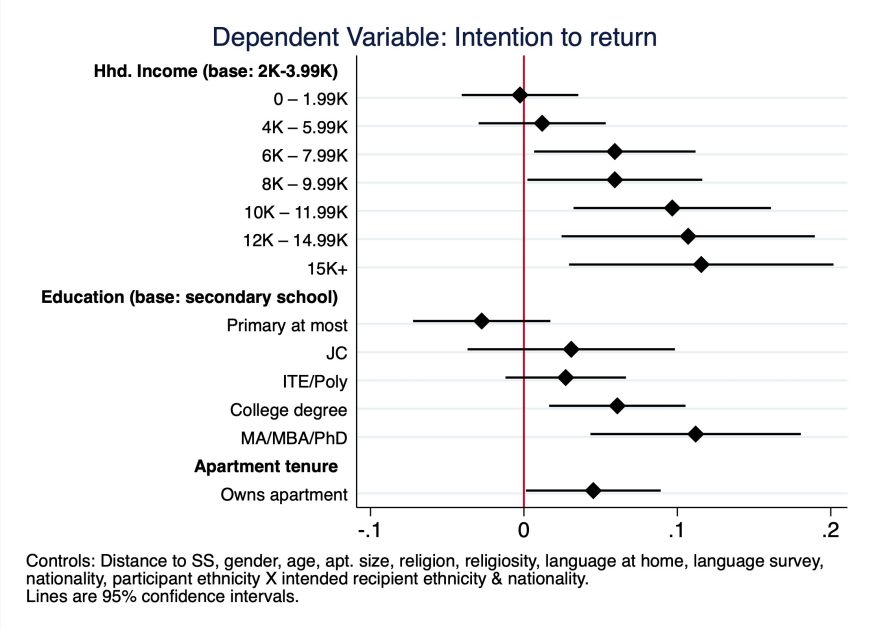
Robust standard errors in parentheses, *** p<0.01, ** p<0.05, * p<0.1 (1) Controls: Voucher size, Janitor (Yes/No), walking distance to SS, gender, "voucher inside", apartment size, survey language. (2) Controls: (1) + income, education, apt. tenure, language at home, religiosity, religion, age.

Discussion

Contrary to most of previous work analysing pro-social behavior, results in this paper do not reveal any strong homophily patterns. Ethnicity and nationality of the beneficiary do not seem to drive pro-social behavior. The specific result for Malays (the only ethnic group that is more likely to act more prosocially towards themselves than towards others) could be explained by the shared perception (supported by Figure 1) that they are the disadvantaged group in social terms, rather than by homophilic preferences.

In other words, results in this paper suggest that *perceived deservingness trumps both*

Figure 2: Intent to return, by participants' SES



ethnicity and nationality: Respondents are much more likely to return the voucher when this is large and they believe it belongs to a janitor, and much more likely to use it without trying to contact us when they believe it belongs to a surgeon. Ethnic and national considerations seem much more minor in light of our results.

Needless to say, results are contingent to the context of Singapore. Since the ethnic riots in the 1960s, which involved a few episodes of ethnic killings, the country has imposed very strict policies of co-integration. All ethnic groups are forced to live together in the same buildings, so that there are no ethnic enclaves. Religious criticism of any kind is heavily punished with prison —since religious and ethnic lines coincide strongly, these results leave little to no room for any sort of public criticism of other ethnic groups. Except perhaps for education, where kids from different ethnic backgrounds tend to sort to different schools, all policies in the country are geared towards higher levels of co-ethnic integration.

This does not mean that no-one feels discriminated. There is evidence of pereived discrimination by the two minority ethnic groups. For instance, Indians returning the

voucher more often to Chinese than to Indians could be a result of not wanting to offend the majority Chinese. There is also evidence of ethnic discrimination towards Malays in the labour markets. Our paper suggests that, while there may be discrimination in some dimensions, pro-social behavior of individual citizens may not be contaminated by those. There seems to be a few lessons that other countries could learn from the Singapore experience.

Supplementary Figures

Figure 3: The envelope we sent

Figure 4: Contents of the envelope

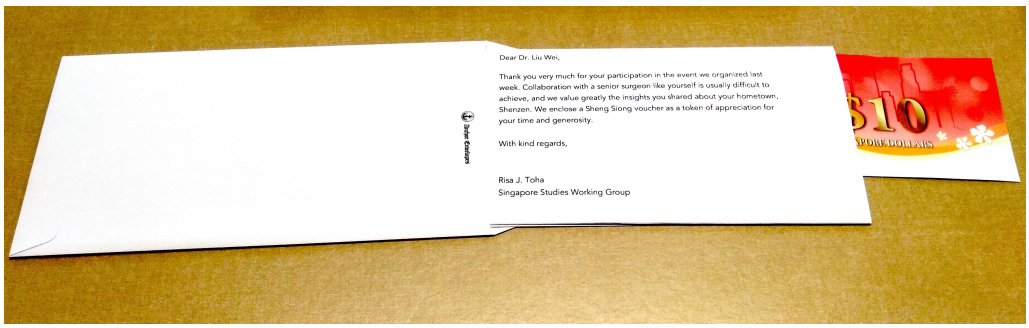


Figure 5: Example of letter found in the envelope. Note all our contact information can be found within the letter (the envelope also contained our physical address).

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Dear Dr. Yong Yi Ming,

Thank you very much for your participation in the event we organized last week. Collaboration with a senior surgeon like yourself is usually difficult to achieve, and we value greatly the insights you shared about your hometown, Ipoh. We enclose a Sheng Siong voucher as a token of appreciation for your time and generosity.

With kind regards,

Risa J. Toha
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